



Orange County

- Market activity shifted toward stabilization in Q1 2026, with overall demand turning positive, indicating cautious momentum rather than broad acceleration across Orange County industrial submarkets.
- Leasing patterns highlighted clear submarket divergence, as larger users favored specific submarkets and building types, reinforcing the role of newer facilities and industry specialization in driving localized demand trends countywide.
- Development conditions remained constrained, with limited new supply and meaningful preleasing, suggesting future availability may be moderated and supporting expectations for gradual market stabilization.

The Orange County industrial market demonstrated renewed momentum in Q1 2026 with positive net absorption of just over 31,315 s.f., marking the first quarter of positive absorption since Q3 2023. The market presents a diverse industrial landscape serving VC backed aerospace and defense firms, medical device manufacturers, advanced manufacturing operations, and 3PL's. Recent leasing activity shows aerospace and defense tenants gravitate toward newer construction and Class A buildings.

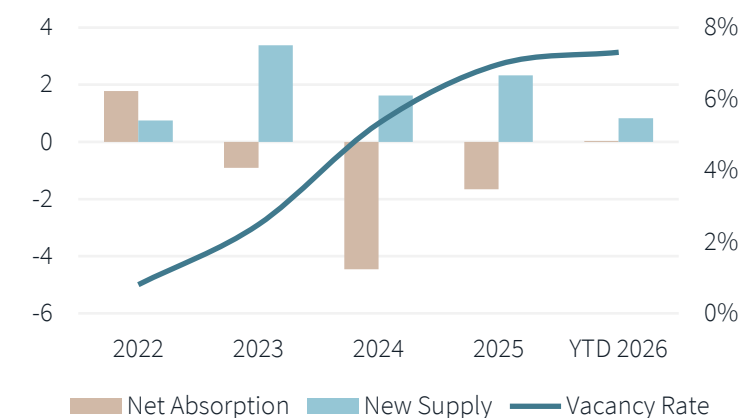
Anduril continues to be a market leader, signing the largest Q1 2026 lease for 177,766 s.f. in the Airport Area submarket and moving into their Lake Center campus facility, which represented one of Q1 2026's largest move-ins from the 3-building project. North County maintained the lowest vacancy rate at 6.8%, while the Airport Area demonstrated appeal to aerospace and defense tenants. Four out of seven of the quarter's 100,000 s.f. plus size segment leases were signed in North County, which included Houdini Inc. who executed the largest new lease of the quarter at 229,422 s.f.. Conversely, South County exhibited the highest vacancy rate at 9.8%, a 210 basis point increase Q-o-Q driven partially by two new construction completions delivered this quarter, while commanding premium rents at \$2.14 p.s.f.

The current construction pipeline remains subdued with only 0.5 million s.f., while preleasing across under-development projects reached 73.7%, suggesting that a substantial portion of forthcoming space has already been committed, which may help moderate future availability as new buildings deliver. Market stabilization is anticipated in 2026 as construction starts decline and fundamentals improve. Overall, the 2026 outlook points to a market with steady but cautious tenant demand, supporting gradual stabilization rather than rapid tightening.

Fundamentals	Forecast	
YTD net absorption	31,315 s.f.	→
Under development	532,617 s.f.	→
Preleased	73.7%	→
YTD deliveries	833,052 s.f.	↓
Total vacancy	7.3%	↑
Total availability	10.1%	↑
Average asking rent	\$1.64 p.s.f.	↓
Concessions	Rising	↑

Historical supply and demand trends

s.f. (millions)





Orange County

	Inventory (s.f.)	Quarterly total net absorption (s.f.)	YTD total net absorption (s.f.)	YTD total net absorption (% of stock)	Total vacancy (%)	Total availability (%)	Average total asking rent (\$ p.s.f.)	Quarterly Completions (s.f.)	YTD Completions (s.f.)	Under construction (s.f.)
Orange County total										
Warehouse & Distribution	153,285,178	111,409	111,409	0.1%	7.9%	11.0%	\$1.66	833,052	833,052	532,617
Manufacturing	63,020,961	-80,094	-80,094	-0.1%	5.8%	7.8%	\$1.55	0	0	0
Overall Total	216,306,139	31,315	31,315	0.0%	7.3%	10.1%	\$1.64	833,052	833,052	532,617
North County										
Warehouse & Distribution	78,363,853	-80,993	-80,993	-0.1%	7.5%	10.4%	\$1.47	546,542	546,542	164,602
Manufacturing	28,102,229	-57,332	-57,332	-0.2%	7.2%	9.7%	\$1.54	0	0	0
Overall Total	106,466,082	-138,325	-138,325	-0.1%	7.4%	10.2%	\$1.49	546,542	546,542	164,602
West County										
Warehouse & Distribution	21,696,743	107,452	107,452	0.5%	6.0%	9.9%	\$1.62	0	0	88,164
Manufacturing	12,545,530	67,110	67,110	0.5%	6.3%	6.9%	\$1.43	0	0	0
Overall Total	34,242,273	174,562	174,562	0.5%	6.1%	8.8%	\$1.57	0	0	88,164
Airport Area										
Warehouse & Distribution	36,896,627	261,390	261,390	0.7%	8.3%	11.0%	\$1.70	112,230	112,230	279,851
Manufacturing	15,472,893	-84,171	-84,171	-0.5%	2.9%	4.5%	\$1.62	0	0	0
Overall Total	52,369,520	177,219	177,219	0.3%	6.7%	9.1%	\$1.69	112,230	112,230	279,851
South County										
Warehouse & Distribution	16,327,955	-176,440	-176,440	-1.1%	11.6%	15.1%	\$2.21	174,280	174,280	0
Manufacturing	6,900,309	-5,701	-5,701	-0.1%	5.6%	9.2%	\$1.77	0	0	0
Overall Total	23,228,264	-182,141	-182,141	-0.8%	9.8%	13.4%	\$2.14	174,280	174,280	0



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